Executive Summary

SuprFi is building flexible and transparent financing for everyday home services and repairs, a market where financing remains high friction with archaic workflows, while every other consumer category has modernized. We will launch (pilot) with traditional BNPL financing options (6-week, 3- and 6-month payment plans), followed by risk-priced installment loans ranging from 6-36 months. Then we build the moat: a consumer-facing platform that delivers *pre-approved buyers*, not leads, directly to contractors.

The Two-Phase Strategy

Phase 1 (Months 1-18): Build the Network via direct merchant sales. Embedded financing at point-of-sale. Prove the model, build supply, collect data. During this phase we will win by having a differentiated distribution strategy vs. Wisestack and will offer better user experience and back-office efficiencies. We can beat Affirm because we are a sales-enablement tool, not just a check out solution.

Phase 2 (Year 2+): Own the Demand Launch consumer-facing contractor directory leveraging our network of onboarded merchants. Consumers get approved for financing FIRST, then select a contractor within our network to perform services. We deliver pre-approved buyers, not leads, to merchants. This is where we become fully defensible.

Why This Wins

1. **BNPL is underserved in home services:** Klarna and Affirm dominate retail and are checkout-based payment methods. Home services are still largely defined by traditional financing (HELOC, personal loans, installment loans) or high-APR credit cards. We bring modern practices to home services by leveraging alternative data to supplement underwriting, enabling us to offer multiple loan products across BNPL and risk-priced installment loans to broaden coverage and increase approval rates.
2. **Merchants get more than leads:** In Phase 2, we deliver customers who are already approved to pay. That's worth far more than the tire-kickers from Thumbtack or HomeAdvisor, who are also largely recycling leads from traditional paid search. 5% fee via a merchant discount rate (MDR) on a closed deal beats $50 per lead that doesn't convert.
3. **Owned distribution creates the moat:** Phase 1 is necessary but not sufficient. Phase 2, owning consumer demand through a variety of marketing channels, reviews, and pre-approval, is where we become defensible against embedded-only competitors.

Core Thesis

Affirm proved BNPL works. Thumbtack proved contractor marketplaces work. No one has combined them. We're building Affirm's merchant model with owned consumer distribution, and in a vertical where financing is truly needed, not just convenient.

1. Market Analysis & Opportunity

1.1 The Problem We're Solving

For Homeowners

- AC dies in July. $750 repair. Credit card maxed or at 24% APR.
- Bank personal loans take 1-2 weeks, the house is 95°F now.
- Home equity is overkill for a $5K repair and takes a month.
- Don't know if the contractor is trustworthy, qualified, or the price is fair.
- BNPL exists for a $50 shirt but not a $750 AC repair? That's broken.

For Contractors

- 30-40% of quotes fail because customers can't pay.
- Financing conversations are awkward and kill deals.
- Lead-gen platforms (Thumbtack, HomeAdvisor) send tire-kickers who can't afford the work.
- Current financing options are clunky, slow, and don't integrate with their workflow.

1.2 Why BNPL for Home Services

BNPL has transformed retail (Klarna, Afterpay), e-commerce (Affirm, Zip), and healthcare (Sunbit, CareCredit). Home services, a bigger market than all of these, is still stuck with traditional financing options and credit cards.

Why BNPL wins over traditional financing:

- **0% APR psychology:** "4 payments of $187" feels manageable. "$750 loan at 18% APR" feels like debt.
- **Instant approval:** Decision in seconds, not days.
- **Higher conversion:** Affirm reports 20%+ lift in merchant conversion rates but are only a check out option, whereas we are offering a sales enablement tool
- **Younger demographics:** Millennials and Gen Z prefer BNPL over credit cards. They're now homeowners.

1.3 Market Sizing

- **TAM:** $600B+ annual home services spend
- **SAM:** $150B in services where financing is needed (<$25K range)
- **SOM:** $2.5B near- to mid-term addressable market

2. Product Strategy

2.1 Core Positioning

We are:

- A financing partner specializing in everyday home services and repairs
- A technology platform that helps contractors close more jobs
- The place homeowners go to find vetted contractors with pre-approved financing *(Phase 2)*
- A data company building the deepest understanding of home services transactions

We are NOT:

- A traditional installment lender (though we'll add this after our Pilot phase)
- A lead-gen marketplace that charges per lead
- Just another embedded financing widget fighting for CRM integrations

2.2 BNPL Product Design

Payment Plan Options

Plan	Duration	Structure	Best For
Pay in 4	6 weeks	25% down + 3 bi-weekly	$250-$750
Pay in 3 Months	3 months	25% down + 3 monthly	$250-$1,500
Pay in 6 Months	6 months	25% down + 5 monthly	$1,500-$2,500

BNPL Tiers

Tier	Transaction Amount	6 week	3 month	6 month
Short duration only	$250 - $750	Y	Y	N
Flex tier	$750 - $1,750	Y	Y	Y
Risk-controlled	$1,750 - $2,500	N	Y	Y

Key Product Features:

- **25% down payment:** Reduces risk, ensures customer commitment, improves unit economics
- **0% APR:** Clean consumer value prop, no hidden fees
- **Late fees:** Option to charge fee per missed payment + potential APR conversion for chronic late payers
- **Plaid-first underwriting:** Bank data enables approval without hard credit pull, builds our data moat

2.3 Next Product (post-Pilot): Installment Loans

For larger ticket items where 4-6 payments aren't practical, we'll add risk-priced installment loans:

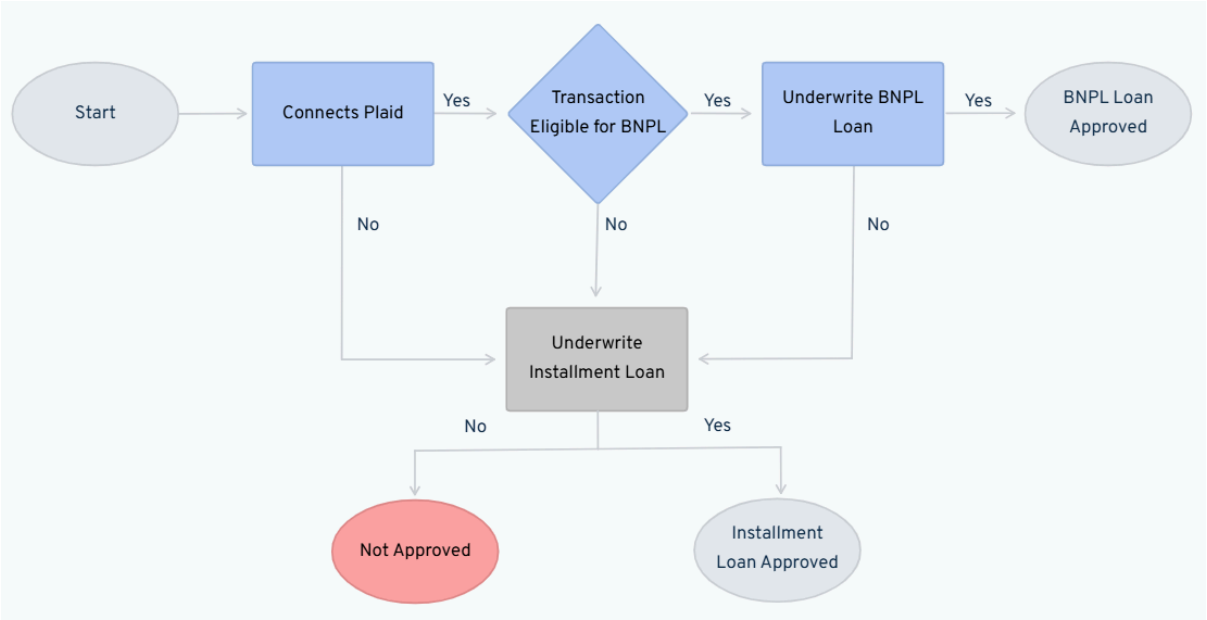
- **Amount**: $2,500 - $25,000
- **Term**: 12-60 months
- **APR**: 8.99%-34.99% (risk-based pricing)
- **MDR**: 2-6%
- **Use case**: Full HVAC system replacement, major roofing fix

Proposed Credit Tiers:

Credit Tier	APR Range
Super-Prime (740+)	8.99–17.99%
Prime (680–739)	18.99–22.99%
Near-Prime (620–679)	23.99–29.99%
Sub-Prime (<620)	30.99-34.99%

2.4 Underwriting Approach

Simplified Decision Tree:



Primary (Plaid-verified):

- Bank account balance and cash flow analysis
- Income verification through deposit patterns
- Existing debt payment patterns
- Account stability (age, overdraft history)

Secondary (soft credit pull):

- FICO/Vantage score as additional signal (not primary)
- Open tradelines and utilization
- Derogatory marks
- Whilst this is secondary for BNPL transactions not approved with cashflow underwriting, it could be primary for transactions above a certain amount (e.g. $10,000)

Why Plaid-first matters: We want every customer going through Plaid to build the richest possible data set. This data becomes our underwriting edge over time and creates switching costs. For lower amounts (<$1,000), we may approve without Plaid, but we push hard for it. Plaid also gives us an efficient mechanism to link repayment methods and to default auto-pay to on.

3. Go-to-Market Strategy

3.1 Phase 1: Build the Network (Months 1-18)

Goal: Build merchant supply, prove unit economics, collect data, learn from merchant problems firsthand. This phase is about earning the right to build Phase 2.

Direct Merchant Sales

We go directly to contractors, not through CRM platforms. This is intentional:

- **Learn their real problems:** Direct relationships reveal pain points we can solve in Phase 2
- **Build case studies:** Success stories from direct merchants become marketing for Phase 2
- **Control the experience:** CRM integrations add friction and dependencies
- **Own the relationship:** Merchants know SuprFi, not just "financing powered by..."

- **Scale Advantage:** A single enterprise sale activates hundreds or thousands of technicians and sales reps, transforming them into SuprFi sales reps during daily service calls.

Target Merchant Profile

- **Service types:** HVAC, plumbing, electrical, pest control, roofing, pool maintenance, lawn and irrigation, home appliance, window, pressure cleaning, water filtration
- **Average ticket:** $250 - $25,000
- **Geography:** Southeast first, expand outward
- **Size:** 10-200 employees (big enough to have volume, small enough to care)
- **Current financing:** None, or unhappy with current provider, or don't offer BNPL

Merchant Value Proposition

"Close more jobs. Get paid immediately. Zero credit risk."

- **Close more jobs:** fair and transparent payment plans help customers say "yes"
- **Get paid immediately:** We pay contractor within 24-48 hours of job completion
- **Zero credit risk:** We own the receivable; contractor has no exposure
- **Simple integration:** QR code, link, or tablet app, no complex setup
- **Only pay on success:** 2-6% MDR on financed transactions only

Phase 1 Milestones

- Month 3: $100K monthly transaction volume
- Month 6: $500K monthly volume, first unit economics data
- Month 9: $1M monthly volume
- Month 12:$2M monthly volume, begin Phase 2 development

4.2 Phase 2: Own the Demand (Year 2+)

Goal: Build consumer-facing acquisition channel that delivers pre-approved buyers - *not leads* - to merchants. This is where we become defensible.

The Consumer Flow

- The homeowner searches "AC repair Tampa" or "how much does a water heater repair cost?"
- Lands on SuprFi (via SEO, content, or paid search)
- Prompted: "See what you can afford. Takes 60 seconds, no credit impact."
- Completes Plaid verification → gets approved for BNPL (e.g., "You qualify for up to $X")
- Sees vetted contractors with reviews, ratings, and typical pricing
- Selects contractor, requests quote or books service
- Job completed, financing activated, merchant paid

Why Merchants Will Pay 2-6%:

Channel	Cost	What You Get	Effective Cost
Thumbtack	$15-50/lead	Contact info (may not afford)	$150-500/job
HomeAdvisor	$20-75/lead	Contact info (may not afford)	$200-750/job
Google Ads	$30-100/click	Website visitor	$300-1000/job
SuprFi (Phase 2)	**5% MDR**	**Pre-approved buyer**	**$200 on $4K job**

The math is obvious: 5% on a closed, financed $4,000 job ($200) is dramatically better than $150-500 in customer acquisition costs for deals that might not close. **We're not charging for leads. We're delivering buyers.**

Consumer Acquisition Strategy

SEO & Content (Target: 40-50% of traffic):

- Price transparency pages: "How much does [service] cost in [city]?"
- Local contractor listings: "Best HVAC contractors in Tampa"
- Service guides: "AC repair vs. replacement: how to decide"
- Financing guides: "How to pay for emergency home repairs"

Paid Search (Target: 20-30%):

- Target service intent: "AC repair near me", "plumber Tampa"
- Differentiate with pre-approval: "See your payment options before you choose"

Merchant Referrals (Target: 30-40%):

- Merchants drive customers to SuprFi for pre-approval before quoting
- "Get pre-approved at suprfi.com before your appointment"

Phase 2 Milestones

- Month 18: Consumer platform beta with 50 merchants in South Florida
- Month 24: Full launch in Florida, 500 merchants
- Month 36: Expand to 5 states, 2,000 merchants, 30%+ organic traffic
- Month 48: National presence, 10,000 merchants, 50%+ organic traffic

5. Competitive Landscape & Defensibility

5.1 Honest Assessment: Phase 1 vs. Phase 2

Phase 1 is an improvement in a very large market. We're competing with Wisetack and Affirm for smaller value loans and Service Finance, GreenSky, and Synchrony for mid-size loans on execution, merchant relationships, and pricing. Any of them could match our BNPL terms. Phase 1 is necessary but not sufficient.

Phase 2 creates the moat. Owned consumer distribution through SEO, reviews, and pre-approval is something embedded-only competitors can't replicate. They need merchants to drive customers; we generate our own demand.

5.2 Competitive Comparison

	SuprFi	Wisetack	Affirm	Thumbtack
BNPL Product	✓	Limited	✓	✗
Home Services Focus	✓	✓	✗	✓
Owns Consumer Demand	Phase 2	✗	✗	✓
Pre-Approved Buyers	Phase 2	✗	✗	✗
Financing Built-In	✓	✓	✓	✗

5.3 Moats That Build Over Time

- **SEO Rankings:** Ranking for "[service] + [city]" queries takes years. Content compounds. A competitor starting today faces a multi-year disadvantage.
- **Review Density**: More customers → more reviews → better quality signal → more trust → more customers. Classic network effect.
- **Pricing Data:** We'll know what services actually cost in every market. This enables fair-price guarantees and better underwriting (flag outlier quotes as potential fraud).

- **Underwriting Data:** Plaid data from millions of transactions creates underwriting models competitors can't match. Do customers of 4.8-star contractors default less than 4.2-star? We'll know.
- **Merchant Switching Costs:** Merchants build review history and reputation on SuprFi. Moving means starting over.

6. Data Strategy

Plaid-first underwriting isn't just about approving loans; it's about building a proprietary data asset that compounds over time.

6.1 What We Capture

From Plaid (every customer):

- Bank balances and cash flow patterns
- Income deposits and frequency
- Existing debt payments
- Account age and overdraft history

From Transactions:

- Service type, contractor, price, geography
- Payment behavior (on-time, late, default)
- Customer satisfaction (reviews, complaints)
- Repeat behavior

From Merchants:

- Quote-to-close conversion
- Average ticket size by service
- Time to schedule and complete services
- Customer ratings

6.2 How Data Creates Value

Immediate (Year 1):

- Improve approval rates while managing risk
- Identify fraud patterns early

Medium-term (Years 2-3):

- Contractor quality scores that predict default risk
- Price fairness validation (flag outliers)
- Predictive pre-qualification campaigns

Long-term (Years 3-5):

- Data licensing to insurance companies, real estate platforms
- Repair cost estimation API
- Contractor intelligence SaaS

7. Product & Technology Roadmap

7.1 Phase 1 Pilot (Months 1-6)

- Consumer application flow (web, mobile-responsive)
- Plaid integration for bank verification, cash flow data, and payment method
- BNPL underwriting engine (rules-based initially)
- Merchant portal (onboarding, transaction tracking, payouts)

- QR code / link generation for merchants
- Payment processing and collections (Admin and servicing portal)
- Integrations with top 3 CRM/FSM platforms

7.2 Phase 1 Enhancement (Months 7-12)

- ML-based underwriting improvements Fraud detection system
- Merchant analytics dashboard
- Further CRM integrations
- Collections automation
- Expand loan products to risk-priced installment offerings

7.3 Phase 2 Build (Year 2)

- Consumer-facing contractor directory
- Pre-approval flow with personalized limits
- Review and rating system
- SEO infrastructure (local landing pages, content CMS)
- Advanced analytics and data warehouse

7.4 Scale (Year 3+)

- AI-powered contractor matching
- Predictive pre-qualification campaigns
- White-label platform for large contractors
- Data products and APIs
- Securitization support systems

8. Risk Management

8.1 Credit Risk

- **Mitigation:** 25% down payment, Plaid verification, short duration (BNPL)
- **Monitoring:** Daily vintage curves, delinquency rates by cohort
- **Action:** Dynamic approval criteria, tighten on early warning signs

8.2 Merchant Supply Risk

- **Mitigation:** Direct sales in Phase 1 builds relationships; compelling value prop
- **Monitoring:** Merchant acquisition rate, churn, utilization
- **Action:** Increase sales investment, adjust MDR if needed

8.3 Consumer Acquisition Risk (Phase 2)

- **Mitigation:** Diversified channels (organic + paid + merchant referrals)
- **Monitoring:** CAC by channel, organic traffic growth, conversion rates
- **Action:** If organic doesn't scale, shift to CRM integrations as primary channel

8.4 Competition Risk

- **Mitigation:** Phase 2 moats (SEO, reviews, data) create barriers
- **Monitoring:** Competitive landscape, win/loss analysis
- **Action:** Move fast in Phase 1; establish density before competitors recognize the model

9. Future Vision: Beyond Home Services

Once we've proven the model in home services and built a dominant market position, the same playbook, BNPL plus owned consumer distribution, can expand to adjacent verticals.

9.1 Adjacent Verticals (Year 5+)

Auto Repair & Maintenance

- Similar ticket sizes ($500-$5,000)
- Same consumer psychology (urgent, unplanned, needs financing)
- Fragmented provider landscape

Veterinary Care

- Emotional purchase, can't say no to pet's health
- High urgency, unexpected costs
- Existing players (Scratchpay, CareCredit) don't own distribution

Dental & Elective Medical

- Large ticket, often not covered by insurance
- Consumer needs help finding providers and affording care
- Same model applies: find provider, get approved, get care

9.2 Why Wait

Expansion is a distraction until we've won in home services. Sufficiently large enough SAM in home services space. Vertical expansion should only happen after we've achieved a dominant position and prove the full model (Phases 1 + 2). Premature expansion dilutes focus and makes it harder to build the moats that matter.

10. Conclusion: Why This Wins

SuprFi combines two proven models, BNPL (Affirm/Klarna) and owned consumer distribution (Thumbtack/Yelp), in a market where financing is genuinely needed, not just convenient.

The Path Forward

1. **Phase 1 proves the model:** Direct merchant relationships, product-market fit, unit economics validation.
2. **Phase 2 builds the moat:** Consumer-facing platform delivers pre-approved buyers to merchants. SEO, reviews, and data compound over time. *This is where we become defensible.*
   The combination is unique: Embedded-only competitors (Wisetack, Affirm) can't own demand. Lead-gen platforms (Thumbtack) can't pre-approve buyers. *We do both.*

We're not asking merchants to pay for leads. We're delivering customers who are already approved to pay. That's worth 5%+, and it's a value proposition no one else can match.

This is not a winner-take-all market, nor does it need to be. By executing Phase 1 with discipline, then building Phase 2's owned distribution, we can build a $100M+ revenue business that serves an underserved market while generating attractive returns.

The question is not whether BNPL works, Affirm proved it. The question is not whether contractor directories work, Thumbtack proved it. The question is whether combining them creates something better than either alone. We believe it does.